China did not pose a threat or if the United States were more credibly committed to Japan, the India–Japan relationship would not have deepened to the extent that it has. More generally, Washington still looms large over Tokyo's foreign and security policy. For both political and logistical reasons, Japanese leaders have found it easier to develop partnerships within the US alliance network, as in the case of Australia (though South Korea remains an exception). India, while not a US ally, falls within this pattern. Key moments of progress in Japan–India relations have been predicated on the deepening of the US–India relationship. This trend has been particularly visible in the nuclear arena, where Tokyo's policies have mirrored Washington's growing accommodation of India's de facto status as a responsible nuclear power.

It is only when India and Japan can sustain an *economic* logic of cooperation that they will be able to develop a partnership that can claim some leverage in Asia's great-power politics. As the India–US relationship has shown, a strong economic partnership is a prerequisite of a strong strategic partnership. At the moment, trade with Japan accounts for a small portion of India's trade with the world. Although Japanese investment is growing, Japanese firms routinely cite various infrastructural, legal, and regulatory obstructions to doing business in India.[47] The situation is dynamic, in that both India and Japan are taking steps to address these difficulties. Therefore, one can expect the level of interdependence between India and Japan to grow in the future, which is likely to tie their strategic futures in Asia even more closely together.

As of now, there is little chance of the two countries effectively balancing against China. However, leaders on both sides have taken the long view, and this approach will enable India to develop its hard-power capabilities. India's Japan policy is not part of an Indian external balancing